Self-Study Material (OLD)

RKDF UNIVERSITY, BHOPAL

First Semester

Course	Category	Subject	Subject Code
Bachelor of Arts	GEC	ORGANISATIONAL BEHAIVOR	BA GEC-103
TotalCredit:4		Max.Marks:100 (Internal:40+External:60	

Units	Topic	Duration (In Hours)	Marks
I	**INTRODUCTION:** Concept of Organizational Behavior (OB); Management roles, skills and activities; Disciplines that contribute to OB; Opportunities for OB(Globalization, Indian Workforce diversity, Customer Services,	12	20
II	**INDIVIDUAL BEHAVIOUR:** • **Learning, attitude and Job Satisfaction:** Concept of Learning, Conditioning, Shaping and reinforcement. Concept of attitude, components, Behavior and attitude, Job satisfaction. • **Motivation:** Concept; Theories(Hierarchy of needs, X and Y, Two factor, McClelland, Goal setting , Self- efficacy, Equity theory) • **Personality and Values:** Concept of Personality; Myres-Briggs Type Indicator(MBTI); Big Five Model. Relevance of Values; Indian Values; Liniking Personality and Valuess to the Workplace(person-job fit, person- organization fit) • **Perception, Decision Making and Emotions:** Perception and Judgements; Factors; Linking perception to individual decision making; Decision making in Organizations, Ethics in Decision making. Emotional labour; Emotional Intelligence.	12	20
III	**GROUP BEHAVIOUR:** 1. **Groups and Work Teams:** Concept; Five stage model of group development; Group think and shift; Indian perspective on group norms. Groups and teams; Types of teams; Creating team players from individuals; Team building and team based work (TBW). 2. **Leadership:** Concept; trait theories; Behavioral theories (Ohio and Michigan studies); Contingency theories (Fiedler, Hersey and Blanchard, Path- Goal); Authentic Leadership; Mentoring, Self-leadership, Online Leadership; Inspirational Approaches	12	20

	Comparison of Indian leadership styles with other countries.		
IV	**ORGANISATIONAL CULTURE AND STRUCTURE:** Concept of culture; Impact (functions and liability); Concept of structure, Prevalent organizational designs;.	12	20
V	**ORGANISATIONAL CHANGE, CONFLICT AND POWER:** Forces of change; Planned change; Resistance; Approaches (Lewin's model, organizational development); Learning organization; Organisational change in Indian Businesses.	12	20

ORGANISATIONAL BEHAVIOUR

Introduction

Meaning and Definitions of OB

Organizational behaviour is the study of individuals, groups and organizational systems. Organisational behaviour examines how human beings behave and interact with each other in the organisations. OB is considered as an art of applied science which deals with the emotions, feelings, believes, perceptions, intellectuality and mentality of people working in an organisation. As human resource is a crucial factor which effects the growth of any organisation, it becomes utmost important to understand how the behaviour of people working in an organisation can help it to grow.

Organisational behaviour studies an individual's capabilities in all aspects of work. It is the study of human behaviour in organisations; the interface between human behaviour and the organisations and the organisation itself. Understanding of the subject is absolutely imperfect without studying these three aspects carefully. OB establishes the linkages between human behaviour in the organisational settings, individual-organisational interface and the environment surrounding the business.

Organizational behavior is a field of study which helps in understanding human behaviour in an organisational context and also the interconnection between human behaviour and growth of the organization. Scope of organizational behaviour is very broad which opens the door to many other concepts like importance of OB and other fields of study, role and skills of managers, challenges in organisational behaviour, understanding people at work: individual, groups and systems as building blocks, organisational behaviour models, evolution of organisational behaviour, researches in organisational behaviour and organisational behaviour in international context etc.

Management roles, skills and activities

Management is commonly defined as "Getting work done through the other people." This definition simply explains the role of people in the organisations. This definition says that the work will be done only when people are there to perform the given task. Hence, people are crucial in the process of management. But, it is also true that success of every organisation depends upon its managerial efficiency and effectiveness. A well managed organisation can survive and flourish during the most difficult times of economy and a badly managed organisation can go bankrupt even when the economy is in a favourable situation. Though, success or failure of a business depends upon the number of factors such as general state of economy, type of management, it is majorly the ability or inability which determines the success or failure of the organisation. A proficient and skilled management contribute to the success of the organisation to a great extent. A manager is the person who practices the art of management in the organisation. Therefore, in this module we will discuss the major functions, roles and skills of managers.

Planning:- Planning is considered as the first function of the management. Planning indicates the future direction of the organisation as well as rest of the functions (organising, leading, controlling) of management. Planning is the process of identifying organisational goals and objectives. It is also concerned with deciding what activities an organisation need to undertake in order to achieve the goals. Planning involves choosing future course of action from the available alternatives.

b) **Organising:-** Designing the organisation functions is also the duty of managers. Organising requires a formal structure of authority and responsibility with the help of which work is divided into activities and linkages to coordinate the work are established.

Opportunities for OB

Opportunities of Organizational Behavior

Despite the challenges, organizational behavior also provides numerous possibilities for organizations to beautify their performance and fulfilment. Through understanding and effectively coping with the challenges associated with OB, groups can leverage those possibilities to create wonderful surroundings, promote effective leadership and control practices, control trade and innovation, beautify teamwork and collaboration, and foster moral conduct and social obligation.

One of the key possibilities of organizational behaviour lies in improving worker pride and engagement. By way of know-how the elements that encourage personnel and create a superb work environment, companies can decorate activity pleasure, leading to accelerated productivity and decreased turnover charges.

For instance, enforcing techniques consisting of flexible work preparations, recognition programs, and worker improvement initiatives can substantially contribute to a high-quality organizational weather.

Any other possibility of organizational behavior lies in handling exchange and innovation. In a state-of-the-art rapid-paced and dynamic commercial enterprise environment, groups want to conform and innovate to live aggressively.

By understanding the elements that influence worker resistance to alternate and the dynamics of organizational subculture, OB can offer valuable insights for coping with exchange initiatives. This includes growing powerful verbal exchange strategies, involving personnel within the trade system, and creating a lifestyle that embraces innovation and continuous development.

Moreover, organizational conduct gives possibilities for enhancing teamwork and collaboration. Via information on the dynamics of organisational conduct, groups can broaden techniques for constructing cohesive and excessive-performing groups.

This includes fostering a subculture of collaboration, organizing clean goals and roles, and promoting powerful communique and warfare decisions. Effective teamwork not best leads to improved choice-making and trouble-fixing but also complements employee pleasure and engagement.

Additionally, organizational conduct gives possibilities for fostering moral behavior and social responsibility. By promoting moral values and standards inside the organization, corporations can create a culture of integrity and responsible conduct.

This consists of growing and implementing moral codes of behavior, imparting ethics education to personnel, and establishing mechanisms for reporting unethical behavior. Operating ethically now not best complements the company's popularity but also contributes to long-term sustainable achievement.

Globalization & Indian Workforce diversity

Globalization has ushered in an era of unprecedented connectivity and interdependence, reshaping industries, economies, and societies worldwide. In India, the profound impact of globalization extends to the very fabric of its workforce. The skills and knowledge demanded by the job market have evolved, and Indian higher education institutions are at a pivotal juncture to equip students with the competencies necessary to thrive in the globalized economy. This article explores the influence of globalization on the Indian workforce and delves into how higher education institutions can prepare students for the challenges and opportunities of the global job market.

Evolution of Skills and Knowledge

As India integrates further into the global economy, the skills and knowledge required by the workforce have undergone a significant transformation. Manufacturing and agriculture sectors have experienced technological disruptions, leading to a shift in demand for specialized technical skills. Meanwhile, the services sector, including IT, finance, and healthcare, has surged in prominence, requiring a blend of technical proficiency and soft skills.

Globalization has also underscored the importance of cross-cultural communication, adaptability, and critical thinking. With businesses spanning continents and cultures, employees must navigate diverse contexts and collaborate seamlessly with colleagues from different backgrounds. Consequently, the ability to work in multicultural environments has become an invaluable asset.

Preparing Students for the Globalized Economy

Indian higher education institutions are responsible for preparing students to excel in this rapidly changing globalized economy. Here are several strategies they can employ:

1. Holistic Curriculum Development

Curricula must be aligned with the demands of the global job market. Higher education institutions should collaborate with industry experts to identify emerging skill gaps and incorporate relevant courses. Integrating interdisciplinary learning, problem-solving, and practical experiences can cultivate well-rounded graduates capable of addressing real-world challenges.

2. Emphasis on Soft Skills

While technical expertise remains vital, soft skills such as communication, adaptability, and critical thinking are equally essential. Incorporating activities that foster teamwork, leadership, and cultural awareness can enhance students' employability on the global stage.

3. Experiential Learning

One of the essential ways to bridge the gap between theory and practice is through experiential learning, equipping students with hands-on experiences that mimic real-world scenarios. Internships, research projects, and industry partnerships allow students to apply classroom knowledge in practical settings and develop a deeper understanding of their chosen fields.

4. Global Exposure

Collaboration with international institutions, exchange programs, and participation in global conferences can expose students to diverse perspectives and broaden their horizons. Exposure to vivid cultures and ways of thinking encourages adaptability and prepares students to function effectively globally.

5. Lifelong Learning and Skill Upgradation

Globalization ensures that the skills required by the workforce are in constant flux. Higher education institutions can prepare students for lifelong learning by instilling a growth mindset and the ability to acquire new skills independently. Online courses and continuous professional development opportunities can facilitate skill upgradation throughout one's career.

Concluding Observations

Globalization has redefined the landscape of the Indian workforce, necessitating a paradigm shift in higher education. Indian higher education institutions must evolve graduates who are not only technically proficient but also equipped with the adaptability, communication, and critical thinking skills demanded by the globalized economy.

Customer Services, innovation and change

Customer service innovation is defined as the introduction of new and improved methods, technologies, strategies, or processes to enhance the quality and effectiveness of customer service. It goes beyond traditional approaches and seeks to address customer needs, expectations, and challenges in novel and impactful ways. Customer service innovation is driven by the goal of providing exceptional customer experiences, resolving issues more efficiently, and building stronger relationships between businesses and their customers.

Key elements of customer service innovation include:

- **Technological Integration:** Leveraging advanced technologies such as artificial intelligence, chatbots, automation, and data analytics to streamline customer interactions, provide faster responses, and enhance the overall service experience.

- **Omni-Channel Support:** Offering customer support across multiple channels, including phone, email, live chat, social media, and self-service portals. Integration of these channels ensures a seamless and consistent experience for customers.

- **Proactive Problem Resolution:** Identifying and addressing potential issues before customers are aware of them. Proactive problem resolution involves anticipating customer needs, addressing pain points, and preventing recurring problems.

- **Self-Service Options:** Providing customers with self-service tools and resources, such as knowledge bases, FAQs, and online tutorials. Empowering customers to find solutions on their own enhances efficiency and convenience.

- **Personalization:** Tailoring customer service interactions based on individual preferences, purchase history, and behavior. Personalized customer service contributes to a more engaging and relevant experience.

- **Real-Time Communication:** Enabling real-time communication between customers and support teams. Live chat, instant messaging, and video chat options enhance responsiveness and facilitate quicker issue resolution.

- **Feedback Mechanisms:** Implementing feedback mechanisms to gather customer opinions, suggestions, and insights. Customer feedback is valuable for identifying areas of improvement and refining service offerings.

- **Social Media Engagement:** Utilizing social media platforms for customer support and engagement. Responding to customer inquiries, feedback, and complaints on social media helps in building a transparent and responsive customer service approach.

- **Predictive Analytics:** Leveraging predictive analytics to anticipate customer needs and behavior. Predictive models can help in identifying potential issues and offering preemptive solutions.

- **Collaborative Support Platforms:** Implementing collaborative support platforms that enable internal teams to work together seamlessly to resolve customer issues.

This approach ensures a holistic view of customer interactions and facilitates efficient problem-solving.

- **Continuous Training and Development:** Investing in ongoing training and development for customer service teams to keep them updated on the latest technologies, industry trends, and best practices. Well-trained teams are better equipped to handle diverse customer needs.

- **Emphasis on Emotional Intelligence:** Focusing on emotional intelligence in customer interactions. Empathy, understanding, and emotional support contribute to positive customer experiences, even in challenging situations.

- **Mobile Customer Service:** Providing mobile-friendly customer service options, including mobile apps, SMS support, and mobile-responsive websites. Mobile accessibility is crucial as more customers engage with businesses through smartphones and tablets.

- **Gamification of Customer Service:** Introducing gamification elements to make the customer service experience more engaging. Gamification can incentivize positive behaviors, encourage customer feedback, and enhance the overall interaction.

Customer service innovation is essential for businesses looking to stay competitive in a rapidly evolving market. By embracing new technologies and approaches, businesses can create a customer-centric service environment that fosters satisfaction, loyalty, and positive brand perception

Networked Organizations

Networked Organization

The networked organization is one that is connected together by informal networks and the demands of the task, rather than a formal organizational structure. The network organization prioritizes its "soft structure" of relationships, networks, teams, groups and communities rather than reporting lines.

In reality, even the most flexible organizations do have some reporting relationships, so a pure networked organization rarely exists. It is more a statement of intent to get things done flexibly rather than to rely on structure.

In this respect, the networked organization is very similar to a matrix. The key challenges of multiple stakeholders, influence without authority, competing goals and accountability without control mean that the skills required to be successful in a network organization or a matrix are very similar.

Work Life Balance

Work-life balance is the amount of time you spend doing your job versus the time you spend with your friends and family and pursuing your interests.

Healthy work-life balance refers to maintaining a harmonious relationship between your work and personal life. It involves consciously managing your time and energy to meet both professional and personal commitments while prioritizing self-care and well-being.

In an ideal world, this line of thinking goes: after work, we're able to spend time on things that nourish us as people. This could involve spending time with friends and family or engaging in a hobby.

Some characteristics of a healthy work-life balance may include:

- **Setting boundaries:** This involves establishing clear boundaries between work and personal life by defining specific working hours and separating work-related tasks from personal activities.
- **Time management:** Efficiently organizing and prioritizing tasks, ensuring that you allocate enough time for work responsibilities as well as personal pursuits, such as spending time with family, engaging in hobbies, or pursuing personal goals
- **Stress management:** Implementing strategies to manage stress levels, such as practicing mindfulness, engaging in regular physical activity, taking breaks, and unplugging from work-related activities when needed

- **Flexibility:** Having the ability to adapt and adjust your schedule to accommodate unforeseen circumstances or personal needs without jeopardizing work commitments

INDIVIDUAL BEHAVIOUR

Learning, attitude and Job Satisfaction

Job satisfaction has a huge impact on overall life quality involving social relationships, family connection and perceived health status, affecting job performances, work absenteeism and job turnover. Over the past decades, the attention towards it has grown constantly. The aim of this study is to analyze simultaneously knowledge, attitudes, and practices toward job satisfaction in a general population in a large metropolitan area.
ttitude of an employee towards work is directly linked to the job satisfaction. An employee who is satisfied with his job performs better and excels at what he does. It is therefore imperative for an organization to understand the attitude of its employees and measure their level of job satisfaction, as it is an essential component of productivity of an organization. When an employee is happy, it is usually because they are satisfied with their work. A healthy employee is a productive employee and feels happy at the work place. There are various issues that need to be addressed, including the managerial leadership, organizational objectives, choice of profession by an employee, social behavior of employees, effective communication, cultural differences, and conducive work environment.

1. Concept and Meaning of Motivation

Motivation is the process of stimulating people to action to accomplish desired goals. Motivation is a managerial function which has been defined by different scholars. Some of the important definitions are as follows:

According to **Edwin B.Flippo**, "*Motivation is the process of attempting to influence others to do your will through the possibility of gain or reward.*"

According to **Dalton E. McFarland**, *"Motivation refers to the way in which urges, drives, desires, aspirations, strivings or needs direct, control or explain the behavior of human beings."*

According to **William G. Scout**, *"Motivation means a process of stimulating people to action to accomplish desired goals"*.

According to **Fred Luthans**, *"Motivation is the process which begins with a physiological or psychological need or deficiency which triggers behavior or a drive that is aimed at a goal or incentive."*

2. Nature of Motivation

1. Motivation is an internal feeling which influences the human behavior.

2. Motivation is affected by way the individual is motivated.

3. Motivation results in achieving goals positively in the organization.

4. Motivation is related to satisfaction.

5. Motivation can be positive and negative.

6. Motivation is a complex process as the individuals are heterogeneous in their expectations, perceptions and reactions.

7. Motivation is stronger when it springs from a person's needs which are consistent with his values.

3. Importance of Motivation

1. It helps the manager to ignite the will to work amongst the workmen.

2. Good motivation method helps in improving the abilities and capabilities of the employees.

3. It helps in finding out the hidden talents and calibre of the employees.

4. Motivated employees means satisfied employees i.e. satisfied in terms of job as well as their personal motives.

5. Motivation reduces the chances of industrial unrest, strikes and similar labour problems.

6. Motivation helps to change the negative or indifferent attitudes of employee to positive attitudes so as to achieve organizational goals.

7. motivation helps to reduce the employee turnover and thereby saves the cost of new recruitment and training.

8. motivation helps in reducing the absenteeism in the organization.

4. Theories of Motivation

Maslow's Need Hierarchy Theory:

This is the most well-known theory of motivation of Abraham Maslow, a clinical psychologist. A basic assumption of this model is that as we satisfy one type of need, other needs then occupy our attention. Once we satisfy our need for food, air and shelter, then we can move on to safety needs, love needs and so on. Although Maslow argued that most people tend to experience these needs in the order that he described, for some people, the so-called higher-level needs will dominate lower-level needs. Some people will be so enthralled by a book or a movie that they will forget they are really hungry. Maslow described the hierarchy of needs as follows:

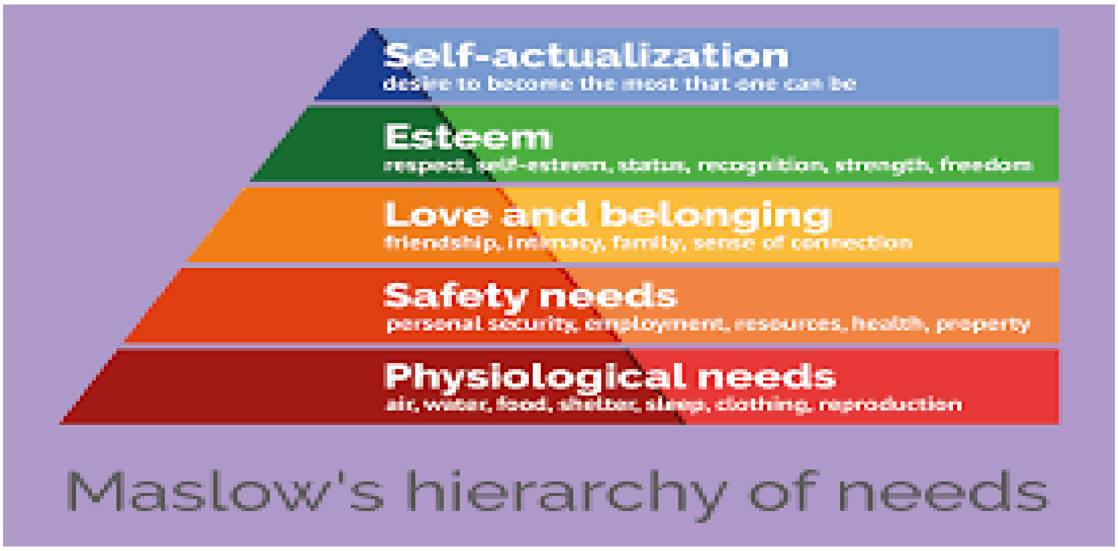

Figure1- Maslow's need Hierarchy Theory of Motivation

i. Physiological needs: These refer to physical or biological needs meant for survival and maintenance of life. These include food, clothing, shelter, air, sleep and other basic needs.

ii. Safety needs: Once the physiological needs are satisfied a person aspires for safety needs. These includes security for life, job, protection from environment, animals etc. As a manager, you can account for the safety needs of your employees by providing the safe and secure working conditions, proper compensation (such as a salary) and job security, which is especially important in a bad economy.

iii. Social needs: After the first two needs are satisfied, social needs become important in the need hierarchy. Since man is a social being , he has a need to belong and to be accepted by various groups. It includes need for acceptance, need for belonging, need for love, affection, friendship etc. As a manager, you can account for the social needs of your employees by making sure each of your employees know one another, encouraging cooperative teamwork, being an accessible and kind supervisor and promoting a good work-life balance.

iv. Esteem and status needs: these needs are concerned with self-respect, self-confidence, a feeling of personal worth, feeling of being unique, and recognition. As a manager, you can account for the esteem needs of your employees by offering praise and recognition when the employee does well, and offering promotions and additional responsibility to reflect your belief that they are a valued employee.

v. Self-actualisation needs: Self-actualisation is the need to maximize one's potential whatever it may be. These needs arise only after the four categories of need are fulfilled. These needs are more like mission, lifetime aspiration, e.g., leprosy eradication mission, mission of Mahatma Gandhi to liberate India from British Rule.

Maslow's needs theory has received wide recognition, particularly among practicing managers. This can be attributed to the theory's intuitive logic and ease of understanding. Following are some problems which are not solved by this theory:

a) This theory is common with many other theories also, that there is lack of direct cause-effect relationship between need and behaviour. Thus a particular need may cause behaviour in different ways in different needs.

b) There is another problem in applying the theory into practice. A person tries for his higher-level need when his lower-order need is reasonably satisfied. What is this reasonable level is a question of subjective matter. Thus, the level of satisfaction for particular need may differ from person to person.

B. Theory X and Theory Y: Douglas McGregor has proposed two models i.e., Theory X and Theory Y. Under Theory X, managers believe that employees inherently dislike work and must therefore be directed or even coerced into performing it. In this type of theory, workers generally shirk work and do not like to work. They avoid responsibility and need to be directed. While under theory y , manager assume that employees can view work as being as natural as rest or play and therefore the average person can learn to accept, and even seek responsibility. Good motivation makes workers readily accept responsibility and self-direction.

C. Hezberg's Two-Factor Theory: Frederick Herzberg proposed a two-factor theory or the motivator- hygiene theory in 1959. According to Herzberg, there are some job factors that result in satisfaction while there are other job factors that prevent dissatisfaction. According to Herzberg, the opposite of "Satisfaction" is "No satisfaction" and the opposite of "Dissatisfaction" is "No Dissatisfaction".

Herzberg classified these job factors into two categories-

i. Hygiene Factors: Herzberg used the term 'hygiene' to describe factors which are related to the conditions under which job is performed such as compensation, job security, organizational politics, working conditions, quality of leadership, and relationships between supervisors, subordinates, and peers. These factors are extrinsic to work. Hygiene factors are also called as dissatisfiers or maintenance factors as they are required to avoid dissatisfaction. Since any increase in these factors will not affect employee's level of satisfaction, these are of no use for motivating them.

ii. Motivational Factors: According to Herzberg, the hygiene factors cannot be regarded as motivators. The motivational factors yield positive satisfaction. These factors are inherent to work. These factors motivate the employees for a superior performance. These factors are called satisfiers. These are: achievement, recognition, advancement, works itself, possibility of growth and responsibility. Most of these factors are related with job contents. Any increase in these factors will satisfy the employees; however any decrease will not affect their level of satisfaction.

D. McClelland's Theory of Needs: This theory was developed by David McClleland and his associates. The theory focuses on three needs, defined as follows:

- Need for achievement (nAch): it is the drive to excel, to achieve in relation to a set of standards, to strive to succeed. McClleland has identified four basic features of high achievers:

i. Always ready to take risks.

ii. provide immediate feedback

iii. accomplish the task easily on time.

Iv. Preoccupied the task till its completion.

- Need for Power (nPow): it is the need to manipulate others or the drive for superiority over others. People with high power need have a great concern for exercising influence and control.

- Need for Affiliation (nAff): It is a need for open and sociable interpersonal relationships. In other words, it is a desire for relationship based on co-operation and mutual understanding. Such individuals are effective performers in a team. These people want to be liked by others. They prefer having friends rather than experts as work partners, and they avoid conflict whenever possible.

Equity Theory

- As per this motivation theory, an individual's motivation level is correlated to his perception of equity, fairness and justice practiced by the management. Higher is individual's perception of fairness, greater is the motivation level and vice versa.The theory states that when a person compares himself to his co-workers and finds the results to be fair, he will be more motivated. If, on the other hand, he compares himself to his co-workers and finds the results to be unequal or "unfair," he will be less motivated. The essence of the Equity Theory lies in this sense of motivation through perceived fairness.
- **A referent group** is a selection of people an individual relates to or uses when comparing themselves to the larger population. If a salesperson compares themselves to the rest of the sales staff, the referent group is the sales staff.
- There are four referent comparisons that an employee can use:
- **a. Self-inside:** An employee's experiences in a different position inside the employee's current organization.
- **b. Self-outside:** An employee's experiences in a situation or position outside the employee's current organization.
- **c. Other-inside:** Another individual or group of individuals inside the employee's organization.
- **d. Other-outside:** Another individual or group of individual outside the employee's organization.
- *There are two assumptions on which the theory works:*
- **a.** Individuals make contributions (inputs) for which they expect certain rewards (outcomes).
- **b.** Individuals decide whether or not a particular exchange is satisfactory, by comparing their inputs and outcomes with those of others and try to rectify any inequality.
- Various types of inputs and outcomes of an individual which are as follows:

- **Inputs:** Efforts, Time, Education, Experience, Training, Ideas, Ability
- **Outcomes:** Pay, Promotion, Recognition, Security, Personal Development, Benefits, Friendship opportunity.

Personality and Values:

Meaning and Definitions of Personality

The word ‘personality’ has been derived from the Latin word ‘persona’ which means to ‘speak through’. This Latin word means the mask worn by the actors. Therefore, the personality refers to role which an individual displays to the public. Personality does not only mean the charm, beauty, smiling face and attitude of a person towards life. But, it is a dynamic concept which describes the growth and development of a person’s whole psychological system. The concept of personality traditionally refers to how people-influence others through their external appearances and actions. But for the psychologists personality includes:

I. Eternal appearances and behaviour

ii. The inner awareness of self as a permanent organizing force, and

iii. The particular organization of measureable traits, both inner and outer.

Personality is an individual difference that lends consistency to a person’s behaviour; Personality is a relatively stable set of characteristics that influence an individual’s behaviour and can be described as the sum total of ways in which an individual reacts and interacts with others. The concept of personality can be better understood through the following mentioned definitions:

- According to Gordon Allport, “Personality is the dynamic organisation within the individual of those psychological systems that determine his unique adjustment to his environment.”

- According to Fred Luthans, “Personality means how a person affects others and how he understands and views himself as well as pattern of inner and outer measurable traits and the person-situation interaction.”

Concept of Personality; Myres-Briggs Type Indicator (MBTI)

The MBTI test is a self-reported personality assessment. During the test, an individual answers approximately 94 questions that evaluate preference toward four different dichotomies: Introversion-extroversion, sensing-intuition, thinking-feeling and judging-perceiving.

The Myers-Briggs Type Indicator (MBTI) is a psychological tool designed to measure personality preferences and categorize individuals into one of 16 distinct personality types. It is based on the theories of Swiss psychiatrist Carl Jung and was developed by Katharine Cook Briggs and her daughter Isabel Briggs Myers in the mid-20th century.

Four Dichotomies of MBTI

The MBTI assesses personality based on four dichotomies, each representing a preference:

1. Extraversion (E) vs. Introversion (I)

This dimension reflects where individuals prefer to direct their energy—outwardly toward people and activities (Extraversion) or inwardly toward thoughts and ideas (Introversion).

2. Sensing (S) vs. Intuition (N)

This dimension relates to how individuals prefer to take in information. Those with a Sensing preference rely on concrete and factual information, while those with an Intuition preference prefer to interpret and add meaning to information.

3. Thinking (T) vs. Feeling (F)

This dimension reflects how individuals prefer to make decisions. Those with a Thinking preference tend to base decisions on logic and objective analysis, while those with a Feeling preference consider the impact on people and special circumstances.

4. Judging (J) vs. Perceiving (P)

This dimension relates to how individuals prefer to deal with the external world. Those with a Judging preference like structure and order and prefer to have things decided, while those with a Perceiving preference are more adaptable and flexible, preferring to go with the flow.

By combining these preferences, individuals are assigned a four-letter type, such as ISTJ (Introverted, Sensing, Thinking, Judging) or ENFP (Extraverted, Intuitive, Feeling, Perceiving).

Relevance of Values; Indian Values

Indian culture is one of the richest and oldest cultures prevalent in the world today. Since numerous communities and religions present in India follow their own customs and rules, India has a very diverse culture. India was considered a treasure trove of gold before British colonisation. When we became a colony of the Britishers, a lot of things changed in our country. The highest impact was on the vast and ethnographic *culture of India*.

INDIAN TRADITIONS

Indian culture is based on tolerance and equality. It gives equal amounts of space to all communities and people to co-exist beautifully. It is an astonishing fact that Indians pray for both living as well as non-living beings such as trees and plants. Tulsi is considered holy here and women sing hymns and pray in front of it every morning in many parts of India. Family bonding is still a very important part of everybody's lives here. All the family members try and have at least one meal a day sitting together. It has been observed that even now all the three generations of the family live together in the same house. Drinking water from copper utensils has also been a tradition in India. It has a lot of health benefits attached to it. Eating with hands is a value that has been taught to people in India from the time they are born. This helps in building a deeper connection with food and also the good bacteria in our hands reach our gut.

The ***Indian tradition*** of greeting everyone by folding both hands together which is called "namaste" has been a long one. Indeed this tradition has helped people a lot during recent times of social distancing.

'Atithi Devo Bhava' literally means the guest is equivalent to God. Guests have always been of supreme importance in the culture of India.

ATTIRE

Different people from different parts of the country have diverse ways of dresses such as Marathi women wear *nauvari* saree, lungi is worn by men in south India, *patiala* suit is worn in Punjab.

DANCES

India is a land of '***unity in diversity***', and our dances are no different. For example, Bharatnatyam is from Tamil Nadu, Kathakali is from Kerala, Kuchipudi from Andhra Pradesh, Sattriya is from Assam.

FOOD

Indian food and cuisine forms an integral part of the culture of India and are also one of the critical factors of India's popularity worldwide. The style of cooking varies from region to region, though unanimously, Indian food has a significant reputation for its extensive use of spices. *Chhole bhature* is a famous dish from Punjab, *litti chokha* is a dish from Bihar, rasgulla and mishti doi are famous desserts from West Bengal.

LANGUAGES

India is also very linguistically diverse. Dialects change even within a few kilometres of travel in the state. There are 22 scheduled languages recognised by the constitution of India.

UNIQUENESS OF INDIAN CULTURE

After marriage, Indian women have a tradition of putting vermillion and wearing red bangles after marriage. Young people bow down and touch the feet of the elders, parents, and teachers. In turn, the elders give blessings by placing their hands on the head of the young people. The holy Kumbh Mela is an event celebrated every three years at one of the four locations—Haridwar, Prayagraj, Nashik or Ujjain that captures the science of astronomy, astrology, spirituality, liberation, ritualistic traditions, knowledge, faith, cultural customs and social practices. Indian festivals are a matter of celebration for everybody.

A unique occasion that is celebrated in India is Nag Panchami during which serpent blessings are sought to bring peace and welfare to the family. For 15 days in May and April, India beholds the largest festive gathering of transgender and transvestite individuals at Koovagam in Tamil Nadu. Other festivals like Holi, Diwali, Christmas, Gurupurab are also celebrated in India with enthusiasm and zeal.

Personality and Values to the Workplace

Personality encompasses a person’s relatively stable feelings, thoughts, and behavioral patterns. Each of us has a unique personality that differentiates us from other people, and understanding someone’s personality gives us clues about how that person is likely to act and feel in a variety of situations. To lead effectively, it is helpful to understand the personalities of different employees. Having this knowledge is also useful for placing people into jobs and organizations.

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If personality is stable, does this mean that it does not change? You probably remember how you have changed and evolved as a result of your own life experiences, parenting style and attention you have received in early childhood, successes and failures you experienced over the course of your life, and other life events. In fact, personality does change over long periods of time. For example, we tend to become more socially dominant, more conscientious (organized and dependable), and more emotionally stable between the ages of 20 and 40, whereas openness to new experiences tends to decline as we age (Roberts, 2006). In other words, even though we treat personality as relatively stable, change occurs. Moreover, even in childhood, our personality matters, and it has lasting consequences for us. For example, studies show that part of our career success and job satisfaction later in life can be explained by our childhood personality (Judge & Higgins, 1999; Staw, et. al., 1986).

Is our behavior in organizations dependent on our personality? To some extent, yes, and to some extent, no. While we will discuss the effects of personality for employee behavior, you must remember that the relationships we describe are modest correlations. For example, having a sociable and outgoing personality may encourage people to seek friends and prefer social situations. This does not mean that their personality will immediately affect their work behavior. At work, we have a job to do and a role to perform. Therefore, our behavior may be more strongly affected by what is expected of us, as opposed to how we want to behave.

Especially in jobs that involve a lot of autonomy, or freedom, personality tends to exert a strong influence on work behavior (Barrick & Mount, 1993),something to consider when engaging in Organizing activities such as job design or enrichment.

Perception, Decision Making and Emotions:

Perception and judgment are two concepts that are closely related. Perception refers to the way in which we interpret and make sense of the world around us, while judgment is the act of forming an opinion or evaluation about something or someone. In many ways, our perceptions can influence our judgments, and vice versa. How we perceive something can impact how we judge it, and how we judge something can impact how we perceive it. This connection between perception and judgment is complex and multifaceted, and it is important to explore it in depth to gain a better understanding of how our minds work.

1. Perceptions can shape judgments: The way we perceive something can have a significant impact on how we judge it. For example, if we see a person as kind and compassionate, we are more likely to judge them positively than if we see them as mean or selfish. Our perceptions can color our judgments, even if those perceptions are not entirely accurate or fair.

2. Judgments can shape perceptions: Similarly, our judgments can shape our perceptions. If we judge someone negatively based on limited information or *preconceived notions*, we may be more likely to perceive them in a negative light, even if they are actually quite different from *our initial perceptions*.

3. The influence of bias: Bias can play a significant role in both perception and judgment. We all have biases based on our experiences, beliefs, and *cultural backgrounds*, and these biases can impact how we perceive and judge others. For example, someone who has had *a negative experience* with a particular race or ethnicity may be more likely to perceive and judge people from that group negatively, even if they have no reason to do so.

4. The role of context: Context is also important when it comes to perception and judgment. The same behavior or action may be perceived and judged differently depending on the context in which it occurs. For example, someone who is normally quiet and reserved may be perceived as unfriendly or stand-offish in *a social setting*, even if they are simply uncomfortable or shy.

5. The impact of emotions: Emotions can also influence both perception and judgment. When we are feeling positive emotions, we may be more likely to perceive and judge things positively, while *negative emotions* may lead to *more negative perceptions* and judgments. For example, if we are in *a bad mood*, we may be more likely to judge someone harshly for *a minor mistake*.

Overall, the connection between perception and judgment is complex and multifaceted, and it is important to be aware of how these two concepts interact in our daily lives. By understanding how our perceptions and judgments are influenced by bias, context, and emotions, we can work to make *more accurate and fair evaluations* of the world around us.

Decision making in Organizations, Ethics in decision making.

Ethical decision-making is the process for an individual to follow in order to make a decision guided by ethical principles and values. It is important for decision-makers in the workplace to make ethical decisions to protect different people that are working there and for the team to facilitate and support every memeber.

As a business owner and leader, you're going to have to make a lot of important decisions for your company. On everything from marketing to sales, operations to human resources, your team will look to you for guidance and ask which direction they should go in. In addition to keeping profitability in mind, you also have look at decisions from an ethical standpoint. The role of ethics in decision making affects how you approach decisions, how you decide which action to take and whether or not you need to consult someone else for their viewpoint.

Step 1: Define the Problem Clearly

According to the Business Ethics Resource Center, it's vital to include a decision making framework when you're dealing with ethical questions in your business. This is a process or set of rules that helps you determine how to make the best decision. The first step of the ethical decision making process is to understand what problem or dilemma you're up against. Keep in mind that this may not be the same as the question asked of you to make a decision.

Status suggests that this step is really about helping leaders to understand where they need to apply ethical principals. Not all important decisions will have ethical considerations, but leaders need to know which ones do. They may not always stand out and be obvious. For example, when deciding which new product lines to sell in your store, one of the options may include liquor and cigarettes. While they are profitable choices for many retailers, it might not fit in with your company's ethical values.

Step 2: Do Your Research

After identifying what the ethical problem is, you need to conduct research into the issue. This is where it's important to look for resources within and outside your company that can provide specific expertise related to the decision you need to make. It may include consulting with other business executives at your company, talking to Human Resources professionals or even reviewing your company policy handbooks, according to Status.

Ethical decision making in organizations isn't always easy, as the right answer may not be clear. However, seeking viewpoints that are different from your own can provide you with a wider perspective and bring up elements you had not previously considered. This step is about gaining clarity and understanding more about the ethical dilemma.

Step 3: Consider Your Options

Now it's time to brainstorm solutions for your problem, according to HubSpot. In this step, it's vital to look at what has previously been done at your company in addition to out-of-the-box solutions. Consider similar previous scenarios and how they have been handled, so you can get an idea of the outcome. However, you also have to look outside your business to the larger industry and see what others are doing in these kinds of situations.

HubSpot suggests narrowing down three to five possible solutions. Getting down to just two options often makes it more difficult to come to a decision. Having a couple of options provides you with more variety of solutions. For example, if the problem you're facing is having to layoff employees due to low profitability, solutions may include taking a personal pay cut, asking all employees to take a pay cut in order to avoid layoffs and turning to other types of payment like stock options.

Step 4: Evaluate Your Potential Solutions

Once you have selected a few possible answers to your ethical question, it's time to evaluate each solution. HubSpot suggests understanding the positive and negative aspects of each. Focus on the outcome of each decision and how it will affect your business in the short and long term. Not only that, but how will each decision affect people within your company, your customers and your partners?

You'll also need to consider the likelihood of each negative consequence. For example, if two solutions have several negative consequences, and one solution only has one negative consequence, you may lean toward that one. However, if that negative consequence is more likely to happen than the others, then this may not be a good choice.

Step 5: Come to a Decision

Now that you've done the research, brainstormed solutions and evaluated the many options, it's time to come to a decision. This is the hardest step in the ethical decision making framework because it has lasting effects for your company. It's important to feel confident in your choice because you have weighed all your options carefully.

It's also important to share your decision, and the reasoning behind it, with the right stakeholders in your business. Some ethical decisions can be shared publicly with the whole team while others may require some discretion and privacy. Decide who needs to know the details and be as transparent as possible.

Step 6: Implement Your Decision and Evaluate Its Effects

Once you're confident in your choice, work with your team to bring your decision to reality. This may include developing a business strategy, creating an action plan, devising a new company policy or holding a meeting about the new changes. Put your ethical choice into practice and then review the effects it has on your business.

Even if you have spent a lot of time researching the possible ramifications and know how everything will pan out, it's best to review your decision once it has been implemented. Were there any curveballs you didn't foresee, or did the outcome differ from your expectations? Did your business improve as a result of the decision, or did it suffer?

Analyze your choice so that you can use this information to make your next ethical decision.

Use the PLUS Ethical Decision Making Process

Having a step-by-step system for making ethical decisions is key to making sure you consider all of your options. In addition to that, be sure to use the PLUS model for evaluating your ethical dilemmas, according to Status. This is helpful when you're not quite sure whether a decision has unethical ramifications. You can use this outside of the ethical decision making process to just get a deeper understanding of the choice you face.

PLUS is an acronym that stands for:

- Policies and Procedures: All ethical decisions for your business should align with your company's rules and regulations. If the decision is contrary to any of your policies or procedures, then it's something you need to take a closer look at.
- Legal: This element is fairly black and white, though there can be shades of gray as well when it comes to the law. Is the decision you're looking to make legal or does it violate any laws?
- Universal: This criteria is about your business' core values and company culture, according to HubSpot. Is the decision going against any of your business' values and what you stand for?
- Self: How do you feel about the decision? If the decision is in line with your company policies but gives you an uneasy feeling, it's possible that it goes against what you personally believe to be fair and honest.

The PLUS model can help you understand whether the decision you're about to make is ethical or unethical, and it can also help you understand why. This way, if you need to shift any elements to make the decision a better choice, you know where to start.

Emotional Intelligence

Emotional Intelligence (EI) is the ability to manage both your own emotions and understand the emotions of people around you. There are five key elements to EI: self-awareness, self-regulation, motivation, empathy, and social skills. People with high EI can identify how they are feeling, what those feelings mean, and how those emotions impact their behavior and in turn, other people. It's a little harder to "manage" the emotions of other people - you can't control how someone else feels or behaves. But if you can identify the emotions behind their behavior, you'll have a better understanding of where they are coming from and how to best interact with them.

High EI overlaps with strong interpersonal skills, especially in the areas of conflict management and communication - crucial skills in the workplace. Employees who can self-regulate their emotions are often able to avoid making impulsive decisions - they think objectively before they act. Operating with empathy and understanding is a critical part of teamwork; being able to attribute someone's behavior to an underlying emotion will help you manage relationships and make others feel heard. On an individual level, being aware of your feelings is the first step in not letting those feelings control you. Recognizing how you feel and why will help you to sit with those feelings and then move forward in a productive way.

Effective leaders are often very emotionally intelligent. In the workplace, it's important for leaders to be self-aware and able to view things objectively. This translates into understanding your strengths and weaknesses and acting with humility. This has to be balanced with empathy - employees who feel appreciated and valued at work aren't only happier, but more productive.

Fortunately, you can improve your EI skills with some thoughtfulness and practice:

- Try to slow down your reactions to emotions - next time you feel angry, try to sit with it before lashing out. Why are you angry? Did someone upset you? What do you think was the emotion underneath their behavior?
- Think about your strengths and weaknesses. No one is good at everything, and that's okay! Know yourself and when to ask for - or offer - help.
- Put in the effort to understand what people are communicating non-verbally. If you ask someone to help you on a project and they agree, but sound hesitant, recognize that they may feel overwhelmed or confused or they come from a different background and understanding than your own. It's important to validate and address that before moving forward.
- Work on communicating effectively and openly. Make sure your main point is clear, cut out information that isn't relevant to the person you're talking with, and give your full attention when someone else is speaking.

GROUP BEHAVIOUR

Concept; Five stage model of group development

Many occupations require employees to work together in groups or teams. Several prominent academics have studied the concept of teamwork within the workplace, leading to some important information for team members and leaders to consider. Understanding Tuckman's stages of group development can help make group work easier and more productive for an entire team.

Bruce Tuckman presented a model of five stages Forming, Storming, Norming, and Performing in order to develop as a group.

Orientation (Forming Stage)

The first stage of group development is the forming stage. This stage presents a time where the group is just starting to come together and is described with anxiety and uncertainty.

Members are discreet with their behavior, which is driven by their desire to be accepted by all members of the group. Conflict, controversy, misunderstanding and personal opinions are avoided even though members are starting to form impressions of each other and gain an understanding of what the group will do together.

Typical consequences of the forming stage include achieving an understanding of the group's purpose, determining how the team is going to be organized and who will be responsible for what, discussion of major milestones or phases of the group's goal that includes a rough project schedule, outlining general group rules that includes when they will meet and discovery of what resources will be available for the group to use.

At this stage, group members are learning what to do, how the group is going to operate, what is expected, and what is acceptable.

Power Struggle (Storming Stage)

The second stage of group development is the storming stage. The storming stage is where dispute and competition are at its greatest because now group members have an understanding of the work and a general feel of belongingness towards the group as well as the group members.

This is the stage where the dominating group members emerge, while the less confrontational members stay in their comfort zone.

Questions around leadership, authority, rules, policies, norms, responsibilities, structure, evaluation criteria and reward systems tend to arise during the storming stage. Such questions need to be answered so that the group can move further on to the next stage.

Cooperation and Integration (Norming Stage)

In this stage, the group becomes fun and enjoyable. Group interaction are lot more easier, more cooperative, and productive, with weighed give and take, open communication, bonding, and mutual respect.

If there is a dispute or disruption, it’s comparatively easy to be resolved and the group gets back on track.

Group leadership is very important, but the facilitator can step back a little and let group members take the initiative and move forward together.

Synergy (Performing Stage)

Once a group is clear about its needs, it can move forward to the third stage of group development, the norming stage. This is the time where the group becomes really united.

At this stage, the morale is high as group members actively acknowledge the talents, skills and experience that each member brings to the group. A sense of belongingness is established and the group remains focused on the group's purpose and goal.

Members are flexible, interdependent, and trust each other. Leadership is distributive and members are willing to adapt according to the needs of the group.

Closure (Adjourning Stage)

This stage of a group can be confusing and is usually reached when the task is successfully completed. At this stage, the project is coming to an end and the team members are moving off in different directions.

This stage looks at the team from the perspective of the well-being of the team instead of the perspective of handling a team through the original four stages of team growth.

Group think and shift

Group shift, often termed “groupthink,” is a social psychology phenomenon wherein the collective decisions or opinions of a group become more extreme or polarized in a specific direction compared to the initial individual views of its members. On the other hand, Group shift refers to a condition where the position of an individual in the group changes to adopt a more extreme position due to the influence of the group.

Groupthink

Sometimes we feel like speaking up in a meeting, classroom, or informal group, but decide against it. Why?

Mainly due to shyness, or we may have been victim of groupthink. The phenomenon that arises when group members become so enamored of seeking concurrence that the norm for consensus alters the realistic appraisal of substitute courses of action and the full expression of deviant, minority or unpopular views.

It worsens an individual’s mental efficiency, reality, testing, and moral judgment due to group pressure.

- Group members justify any resistance to the assumptions they have made. No matter how firmly the evidence contradicts their basic assumptions, members behave in way so as to reinforce those assumptions continually.
- Members apply direct pressure on those who briefly present their doubts about any of the views shared by the group or the one who question’s the validity of arguments supporting the substitute favored by the majority.
- Members reserving doubt or holding contradicting viewpoints seek to avoid deviation from what appears to be group consensus, by maintaining silence about misgivings and minimizing the importance of their doubts to themselves.
- An illusion of unanimity appears in the picture. If someone doesn’t speak, it is assumed that he or she is in favor. In other words, silence becomes viewed as a ‘Yes’ vote.

Groupshift

In balancing group decisions with the individual decisions of members within the group, evidence hints that there are differences. In some cases, the group decisions are more timid than the individual decisions. More often, the shift is close to greater risk.

What appears to happen in groups is that the discussion results in a significant shift in a position of members towards a more extreme position in the direction in which they were already leaning before the discussion.

So conservative types become more cautious and the more intrusive types take on more risk. The group discussion tends to fabricate the initial position of the group.

Group shift is the phenomena in which individual decisions make way for exaggerated group decisions. Group shift can be seen as a special case of groupthink.

The decision of the group shows the dominant decision-making norm that is developed during the group's discussion. Whether the shift in the group's decision is towards greater deliberation or more risk depends on the dominant pre-discussion norm.

The greater episode of the shift towards risk has generated several explanations for the phenomenon. It has been argued, for instance, that the discussion creates familiarization between members. As they become more comfortable with each other, they also become more bold, confident and daring.

Group decisions free any single individual from accountability for the group's final choice. Greater risk can be taken as even if the decision fails, no single individual can be held wholly responsible.

Techniques to Eliminate Groupthink & Groupshift

In order to eliminate group think and group shift from a group, we can use four different techniques that will help us make a collaborative decision that is best for the group. These techniques are −

- Brainstorming
- Nominal group thinking

- Didactic technique
- Delphi technique

Brainstorming

This technique includes a group of people, mostly between five and ten in number, sitting around a table, producing ideas in the form of free association. The main focus is on generation of ideas and not on evaluation of these ideas.

If more ideas can be originated, then it is likely that there will be a unique and creative idea among them. All these ideas are written on the blackboard with a piece of chalk so that all the team members can see every idea and try to improvise these ideas.

Brainstorming technique is very effective when the problem is comparatively precise and can be simply defined. A complex problem can be divided into parts and each part can be dealt with separately at a time.

Nominal Group Thinking

This technique is similar to brainstorming except that this approach is more structured. It motivates individual creativity.

Members form the group for namesake and operate independently, originate ideas for solving the problem on their own, in silence and in writing. Members do not communicate well with each other so that strong personality domination is evaded.

The group coordinator either collects the written ideas or writes them on a large blackboard so that each member of the group can see what the ideas are.

These ideas are further discussed one by one in turn and each participant is motivated to comment on these ideas in order to clarify and improve them. After all these ideas have been discussed, they are evaluated for their merits and drawbacks and each actively participating member is needed to vote on each idea and allot it a rank on the basis of priority of each alternative solution.

Groups and teams; Types of teams

The modern business world lets us organize our work in multiple ways. We can work temporarily or on a permanent basis. We can work from home or from the office. We can work with people who have the same level of expertise and skills, or with people whose field of specialization totally differs from ours.

Such a variety of work forms suggests that there should be different types of teams that would ensure efficiency in each individual case. In this article, we will discuss the main team types, providing examples:-

1. Functional teams

Functional teams are the most traditional corporate units that are typically represented by departments, as all the team members belong to the same department. A functional team consists of people who have similar professional expertise, which means it's homogeneous. The roles and responsibilities in functional teams are assigned by a leader to whom team members report.

These teams are usually permanent.

Examples: a quality assurance team or a financial department.

2. Cross-functional teams

A cross-functional team is composed of representatives of various departments that have diverse functional expertise and skills but still work on the same objectives. Their main purpose is to break silos in the organizational structure. Like functional teams, cross-functional ones are homogeneous, as their members belong to the same hierarchical level.

Examples: a project team or a marketing team.

3. Self-managed teams

A self-managed team is a group of employees who work collaboratively and take full responsibility for both work processes and the final result. They work autonomously, without the supervision of a manager. This means that besides creating products or services, they also perform basic management functions - organizing, planning, leading, and controlling.

In self-managed teams, the decision-making power is distributed horizontally among team members. People make commitments to each other rather than to a leader.

Examples: Buurtzorg, Morning start, FAVI.

4. Virtual teams

These teams, also called remote or geographically dispersed, are teams the members of which work remotely, not being physically present. This has been made possible thanks to technological development. The Covid-19 pandemic caused the outburst of virtual teams – people had to work from home, but even after the pandemic, the trend of remote work still stays with us.

One of the secret benefits of using remote workers is that the work itself becomes the yardstick to judge someone's performance. – Jason Fried, the co-founder and CEO at 37signals

As a subtype of virtual teams, we can mention teams who work in asynchronous environment – which is, not only from different places, but also from different time zones. While working remotely still presumes you're supposed to attend real-time meetings and answer email within specific time frames, working asynchronously gives you a chance to communicate the way that works for you, using alternative methods, like recorded briefings. Organized properly, asynchronous work environments can be very productive.

Examples: freelance teams, service (client support) teams, network teams.

5. Team of teams (multi team system)

This is a team that comprises various departments of the same organization. It's larger than a typical team but smaller than an organization. The purpose of a team of teams is to solve complex problems that require coordination.

In this team model, power is decentralized. It encourages a sense of partnership, urging people to work on the same goal. The model is based on meritocracy – the idea that you get recognized by what you do.

The concept is closely described in a 2015 book “Team of Teams”, written by retired US Army General Stanley McCrystal. The book proves that even in a highly hierarchical organization like the US military, it’s possible to create a well-aligned “team of teams” that gives people at the frontline (in the case of McCrystal, literally at the frontline) the authority to make independent decisions, and makes people adaptable to the requirement of the changing environment.

Empowered execution is one of the two factors of adaptability McCrystal mentions. The second one is shared consciousness – a “holistic awareness” of the situation and a sense of shared purpose. These two factors are not self-sufficient and work only in pairs.

McCsrystal also points out that leading such a team can be challenging:

Leading a team of teams is a formidable task – much of what a leader must be, and do, has fundamentally changed. The heroic “hands-on” leader whose personal competence and force of will dominated battlefields… has been overwhelmed by accelerating speed, swelling complexity, and interdependence.

Examples: emergency response teams (which could hypothetically consist of police, fire fighters, medical technicians, emergency surgeons, and a recovery team,) Task Force teams.

Leadership:

Concept; trait theories; Behavioral theories

The main difference is the process of becoming a leader. In the trait leadership theory, people can become leaders more quickly because they were born with the necessary skills. In the behavioral leadership theory, however, people can only become leaders after learning leadership skills.

What is Trait theory?

Trait theory is also known as the virtue theory of leadership. The foundation of this theory is the characteristics of different leaders – both successful and unsuccessful ones. The trait theory emphasizes that leaders have inborn traits; these are "born leaders", who cannot help but take control and guide situations. Basically, a leader is born with specific virtues according to trait theory.

Trait theory is based on the characteristics of leaders and helps to determine and forecast the effectiveness of their leadership. The theory identifies core virtues that decide whether a leader will be successful or not. The core traits identified in this theory include emotional maturity, cognitive ability, self-confidence, business knowledge, honesty and integrity, leadership motivation, and drive for achievement. However, these are not solely responsible for determining leadership effectiveness. There can be other factors that will recognize leadership potentials.

Strengths of Trait Theory

- It is a naturally pleasing theory.
- It has been validated with lots of research.
- Moreover, it serves as an index against which the leadership characteristics of an individual are assessed.
- Besides, it gives detailed knowledge and understanding of the leader element in the leadership process.

Limitations of Trait Theory

- Existence of subjective judgment in determining who is a 'good' or 'successful' leader
- The list of possible traits tends to be very long.
- The most important trait for an effective leader is not identified.
- Also, the model attempts to relate physiological traits such as height and weight to effective leadership. Most of these factors relate to situational factors that can vary tasks-wise. For instance, minimum weight and height required in the military leadership position do not suit for a manager in a business organization.
- Above all, this theory is very complex.

What is Behavioral Theory?

Behavioral theory explains that it is possible to train and develop a leader. It rejects that leaders are born or that certain people have their inborn potential to become leaders. According to this theory, anyone can be a leader, but there must be a good atmosphere and training for leadership qualities to develop. Also, it mainly focuses on specific behavior and actions of leaders, instead of their characteristics.

Moreover, as per this theory, best leaders are those that have the flexibility to change their behavioral style and choose the right style suitable for different situations.

Strengths of Behavioral theory

- Promotes the value of leadership styles with an emphasis on concern for people an collaboration.
- Helps to evaluate and understand how their behavioral styles affect the relationship within the team.
- Also, helps managers to find the right balance between different styles of leadership and helps them to decide how to behave as a leader.

What is the Relationship Between Trait and Behavioral Theories of Leadership?

Both models often emphasize that there are recognizable actions that any leader must be capable of performing in any given condition. Behaviourism is a "trait" theory, in the sense, it too holds that leaders must show certain common personality markers or habits of mind. However, it claims that it is possible to prompt these from anyone at any time and that no one person has more potential than another.

What is the Difference Between Trait and Behavioral Theories of Leadership?

According to behavioral theory, becoming a leader is just a matter of proper training, while trait theory emphasizes that a leader must have certain inherent, inborn qualities. So, this is the key difference between trait and behavioral theories of leadership.

Basically, trait theories believe that a leader is "born." They often describe leaders in terms of their personal characteristics, such as charismatic and driven. Behaviorists, on the other hand, believe leadership can be taught, or fostered, by providing the necessary training and skills to an individual. Therefore, this explains the difference between trait and behavioral theories of leadership.

ORGANISATIONAL CULTURE AND STRUCTURE

Concept of structure, Prevalent/ organizational designs

To start with a technical definition: Organizational design is the administration and execution of an organization's strategic plan. This means that the organization's strategy determines the optimal organizational design.

As we discuss in our Organizational Development Certificate Program, organizational design is about creating the best fit between the strategic choices of the organization and the organizational setting.

This is represented in the figure below. Organizational design is determined by the strategic direction of the company, a.k.a. the vision, mission, and goals of the company. These lead to strategies that the company competes on, which are enabled through the organizational design.

Organizational structure is the backbone of all the operating procedures and workflows at any company. It determines the place and the role of each employee in the business, and is key to organizational development.

A clear structure allows every team member to be involved. When employees know what they're responsible for and who they report to – which isn't the case in many fast-growing companies – they're more likely to take ownership of their work.

7 Types of Organizational Structures

The key purpose of any organizational structure is to make the processes more straightforward. However, there are many ways to achieve that.

Let's look into the seven common types of enterprise organizational structures to help you decide how you want to develop your company and its various departments and teams.

1. Functional structure

A functional structure groups employees into different departments by work specialization. Each department has a designated leader highly experienced in the job functions of each employee supervised by them.

Most often, it implements a top-down (centralized) decision-making process where department managers report to upper management. Ideally, leaders of different teams communicate regularly and coordinate their strategies while lower-level employees have little idea of the processes taking place outside their department.

2. Divisional structure

A divisional structure organizes employees around a common product or geographical location. Divisional organizations have teams focused on a specific market or product line.

Examples of companies applying a divisional structure are McDonald's Corporation and Disney. These brands can't help but split the entire organization by location to be able to adjust their strategies for audiences representing different markets.

3. Matrix structure

Within a matrix organizational structure, team members report to several managers at once. Wait, what's the point?

Having multiple supervisors allows for company-wide interaction and faster project delivery. For instance, when answering to functional managers and project managers, employees have a chance to collect experience outside their team. While functional managers can help to solve job-specific issues, project managers can bring in knowledge or talents from other departments.

4. Team structure

A team-based organizational structure creates small teams that focus on delivering one product or service. These teams are capable of solving problems and making decisions without bringing in third parties.

5. Network structure

A network structure goes far beyond your internal company structure. It's an act of joining the efforts of two or more organizations with the goal of delivering one product or service.

Typically, a network organization outsources independent contractors or vendors to complete the work.

In a network organization, teams are built from full-time employees as well as freelance specialists – this way, in-house workers can spend most of their time focusing on the work they specialize in. Such an approach allows companies to adapt to market changes and obtain the missing skills fast.

Working with individuals that aren't integrated into your company culture results in lower formalization and higher agility.

6. Hierarchical structure

You must already have an idea of what a hierarchical structure is. It's the most common organizational structure type that follows a direct chain of command.

A chain of command, in this case, goes from senior management to general employees through a range of executives on the departmental and team level. The highest-level executive has the highest power over the decision-making process.

7. Flat organization structure

In a flat organizational structure, there are few middle managers between employees and top managers. The structure requires less supervision, increases employee involvement, and boosts trust in the workplace.

ORGANISATIONAL CHANGE, CONFLICT AND POWER

Conflict is a common occurrence in organisations and can take various forms, such as disagreements, hostility, contradictions, or incompatibilities among individuals or groups. It can arise due to differences in values, goals, policies, or the scarcity of resources. According to Robbins, conflict is a deliberate process where one person or unit purposely obstructs another, resulting in frustration and hindrance to the achievement of their goals or advancement of their interests.

Consequences of Organisational Conflicts

Conflicts can have both positive and negative consequences for an organisation:

Positive Consequences of Conflict:

1. **Stimulating Change:** Conflict acts as a catalyst for change in organisations. It brings attention to problems and highlights the need for change. Conflict forces individuals and groups to understand the issues better and find solutions.
2. **Encouraging Creativity and Innovation:** When faced with conflict, group members become creative in finding different ways to address the problem. Conflict stimulates their thinking process and can even lead to innovative ideas for improving policies and procedures.
3. **Strengthening Group Cohesion:** Inter-group conflict can bring groups closer together. When faced with internal conflicts, groups tend to unite and cooperate more. This solidarity helps them face the challenges posed by conflict.
4. **Releasing Tension:** Conflict provides a healthy outlet for releasing pent-up tensions and frustrations. It allows individuals to express their feelings and negotiate without harming the organisation's functioning.
5. **Testing Abilities:** Conflict serves as a test of individuals' learning and growth. Successfully managing conflict can boost satisfaction and motivation.

Negative Consequences of Conflict:

1. **Upsetting Balance:** Conflict disrupts the balance within an organisation. The energy spent on conflict can create imbalances between contributions and rewards. It can also create hostility between groups.
2. **Increased Tension and Stress:** Conflict generates tension and stress, affecting the well-being of individuals. It leads to feelings of anxiety, guilt, and frustration. Cooperation becomes difficult due to suspicion and lack of trust. Conflict can also leave the losing party dissatisfied.
3. **Diversion of Energy:** Conflict diverts attention away from organisational goals. Individuals may focus more on personal agendas and tactics to win the conflict rather than working towards common objectives. In extreme cases, conflict can lead to destructive actions.
4. **Rigidity:** Conflict can result in stricter authority and responsibility relationships, making the organisational structure more inflexible. Groups become more focused on tasks, and leadership becomes more directive.

Conflict within an organisation can occur at the individual level or between multiple individuals. It can arise from divergent goals and the various roles individuals are expected to fulfil. Organisational conflicts can be broadly classified into the following categories:

- Intra-personal conflict
- Inter-personal conflict
- Inter-group conflict
- Inter-organisational conflict

Intra-personal Conflict

This conflict arises within an individual or between two or more individuals. It occurs when an individual faces difficulty in choosing between alternative courses of action. Intra-personal conflict can be caused by divergent goals and multiple roles expected from the individual.

1. Goal Conflict: This type of conflict occurs within an individual. It occurs when an individual faces difficulty in choosing between alternative courses of action. One common form of intra-personal conflict is goal conflict, where an individual must choose among competing goals. There are three subtypes of goal conflict:

- **Approach-approach Conflict:** This conflict arises when a person must choose between two or more equally appealing goals. Selecting one goal means giving up the others, leading to a challenging decision and for instance, deciding between two equally lucrative job offers.
- **Approach-avoidance Conflict:** In this conflict, an individual is presented with an alternative that has both positive and negative aspects. They are attracted to the positive aspects while being repelled by the negative aspects. For example, being offered a well-paid job in a location they dislike, creates a dilemma.
- **Avoidance-avoidance Conflict:** This conflict occurs when a person must choose between two undesirable goals, both of which have negative aspects. It's a situation where neither option seems appealing. For instance, disliking a current job but finding the alternative of resigning and searching for a new job equally unattractive.

2. Role Conflict: Role conflict arises when there are conflicting expectations placed on an individual in a specific position. It occurs when the expectations of a role are materially different or contradictory, making it challenging to fulfil one expectation without neglecting others. Role ambiguity, which arises from unclear duties and responsibilities, can also contribute to role conflict. Here are the different forms of role conflict:

- **Person-role Conflict:** This conflict occurs when a person is asked to perform a job that goes against their values. For example, being asked to engage in unethical practices that contradict one's values.

- **Inter-role Conflict:** Inter-role conflict arises when an individual is confronted with multiple and conflicting roles. For instance, having to make a decision that is unfavourable to workers while serving as a member of a works committee.
- **Intra-sender Role Conflict:** This conflict occurs when a person is assigned a job for which they lack the necessary capability or when there is insufficient time and resources to complete the task.
- **Inter-sender Role Conflict:** Inter-sender role conflict arises when different sources provide conflicting role expectations. For example, being asked to follow accounting practices that differ from the professional standards set by the relevant institute.

Inter-personal Conflict

Inter-personal conflict occurs between individuals or groups within an organisation. It arises when there are differences in opinions, values, or interests among individuals. This type of conflict can be between peers, supervisors and subordinates, or among team members.

1. **Personality Differences:** Some individuals may find it challenging to establish cooperative relations with others due to differences in their personalities.
2. **Perceptions:** Conflicts can arise when individuals from diverse socio-cultural backgrounds hold different perceptions, leading to disagreements, especially regarding task-related matters.
3. **Clash of Values and Interests:** Differences in personal values and interests can create misunderstandings and conflicts between individuals. Varied perspectives on ethical considerations or strategic decisions may contribute to such conflicts.
4. **Power and Status Differences:** When there is an unequal distribution of power and status within a group or organisation, conflicts may arise. Individuals with higher positions may exert control or give orders that conflict with the opinions or interests of those with lower positions.
5. **Scarcity of Resources:** Interpersonal conflicts can emerge when individuals compete for limited resources, such as budget allocations, promotion opportunities, or access to essential tools or equipment.

Inter-group Conflicts

Inter-group conflict refers to conflicts that arise between different groups within an organisation. It occurs when there are competing goals, limited resources, or differences in power and authority between groups. This type of conflict can be detrimental to collaboration and coordination within the organisation.

1. **Divergent Goals and Interests:** Conflict arises when the goals and interests of two or more groups are incompatible. For instance, conflicts often arise between labour and management when labour demands higher wages, potentially impacting the profitability desired by management. Additionally, unclear boundaries and reward systems based on group performance can further exacerbate goal incompatibility.
2. **Task Interdependence:** Conflict potential increases when groups rely on each other for resources or information. If one group's work is dependent on another group's completion, conflicts may emerge if the dependent group fails to meet expectations.
3. **Limited Resources:** When multiple groups compete for limited resources like funds, personnel, information, or power, conflicts arise as each group strives to secure a larger share of the available resources.
4. **Collaborative Decision-making:** Conflicts can arise during joint decision-making processes when groups have access to different information sources, communication channels suffer from leaks or blockages, or groups employ varying techniques for processing information.
5. **Dealing with Uncertainty:** Interactions between organisations and their environments often entail uncertainties. Conflicts may arise when one group establishes rules or guidelines that contradict the expectations or preferences of other groups, such as when the accounting department enforces travel expense rules that clash with the marketing department's expectations.
6. **Attitudinal Differences:** Conflicts can stem from attitudes of distrust, secrecy, or closed communication held by members of different groups. These attitudinal disparities can give rise to aggressive behaviours or strained relationships.
7. **Organisational Ambiguity:** Conflict can result from competition between groups for new responsibilities or when there is a lack of clarity regarding job roles and communication issues like noise, distortion, omission, or overload.
8. **Managing Change:** Introducing organisational changes, such as mergers, can trigger inter-group conflicts due to power struggles and differences in organisational culture and practices.
9. **Communication Challenges:** Each group may develop its own specialized vocabulary or jargon, hindering effective communication and mutual understanding between groups.

Inter-organisational conflict

Inter-organisational conflict refers to conflicts that arise between different organisations or entities. These conflicts occur when there are disagreements, tensions, or competition between organisations that can impact their relationship and interactions. Inter-organisational conflicts can arise due to various reasons, including:

1. **Competition for Resources:** Organisations often find themselves in competition for limited resources such as funding, customers, market share, or skilled personnel. This competition can lead to conflicts as organisations strive to gain an edge over one another.
2. **Conflicting Interests:** When organisations have divergent goals, objectives, or interests, conflicts can emerge. For instance, two organisations operating in the same industry may have different strategies or business models, resulting in competition and conflicts.
3. **Power Dynamics:** Imbalances in power and influence among organisations can give rise to conflicts. Larger or more influential organisations may exert control or dominance over smaller counterparts, leading to tensions and disputes.
4. **Contractual or Agreement Disputes:** Organisations frequently enter into contracts or agreements with one another for various purposes, such as partnerships, joint ventures, or supply chain relationships. Conflicts may arise when there are disagreements or breaches of these contractual arrangements.
5. **Differences in Organisational Culture:** Each organisation possesses its own set of values, norms, and ways of operating. Conflicts can arise when organisations with contrasting cultures collaborate or interact, as differences in communication styles, decision-making processes, or work approaches come to the forefront.
6. **Misaligned Interests or Strategies:** Organisations may have differing priorities, strategies, or approaches to conducting business. When these differences are not effectively managed or aligned, conflicts can emerge, impeding cooperation and collaboration.
7. **External Factors:** Changes in the external environment, such as shifts in market conditions, regulatory requirements, or technological advancements, can create conflicts between organisations as they navigate new circumstances or vie for opportunities.

Power and Politics in Organizational Life

here are few business activities more prone to a credibility gap than the way in which executives approach organizational life. A sense of disbelief occurs when managers purport to make decisions in rationalistic terms while most observers and participants know that personalities and politics play a significant if not an overriding role. Where does the error lie? In the theory which insists that decisions should be rationalistic and nonpersonal? Or in the practice which treats business organizations as political structures?

Political Pyramid

Organizations provide a power base for individuals. From a purely economic standpoint, organizations exist to create a surplus of income over costs by meeting needs in the marketplace. But organizations also are political structures which provide opportunities for people to develop careers and therefore provide platforms for the expression of individual interests and motives. The development of careers, particularly at high managerial and professional levels, depends on accumulation of power as the vehicle for transforming individual interests into activities which influence other people.

Scarcity & competition

A political pyramid exists when people compete for power in an economy of scarcity. In other words, people cannot get the power they want just for the asking. Instead, they have to enter into the decisions on how to distribute authority in a particular formal organization structure. Scarcity of power arises under two sets of conditions:

1. Where individuals gain power in absolute terms at someone else's expense.

2. Where there is a gain comparatively—not literally at someone else's expense—resulting in a relative shift in the distribution of power.

In either case, the psychology of scarcity and comparison takes over. The human being tends to make comparisons as a basis for his sense of self-esteem. He may compare himself with other people and decide that his absolute loss or the shift in proportional shares of authority reflects an attrition in his power base. He may also compare his position relative to others against a personal standard and feel a sense of loss. This tendency to compare is deeply ingrained in people, especially since they experience early in life the effects of comparisons in the family where—in an absolute sense—time and attention, if not love and affection, go to the most dependent member.

Corporate acquisitions and mergers illustrate the effects of both types of comparisons. In the case of one merger, the president of the acquired company resigned rather than accept the relative displacement in rank which occurred when he no longer could act as a chief executive officer. Two vice presidents vied for the position of executive vice president. Because of their conflicting ambitions, the expedient of making them equals drove the competition underground, but not for long. The vice president with the weaker power base soon resigned in the face of his inability to consolidate a workable definition of his responsibilities. His departure resulted in increased power for the remaining vice president and the gradual eliminnation of “rival camps” which had been covertly identified with the main contenders for power.

The fact that organizations are pyramids produces a scarcity of positions the higher one moves in the hierarchy. This scarcity, coupled with inequalities, certainly needs to be recognized. While it may be humane and socially desirable to say that people are different rather than unequal in their potential, nevertheless executive talent is in short supply. The end result should be to move the more able people into the top positions and to accord them the pay, responsibility, and authority to match their potential.

On the other side, the strong desires of equally able people for the few top positions available means that someone will either have to face the realization of unfulfilled ambition or have to shift his interest to another organization.[1]

Constituents & clients

Besides the conditions of scarcity and competition, politics in organizations grows out of the existence of constituencies. A superior may be content himself with shifts in the allocation of resources and consequently power, but he represents subordinates who, for their own reasons, may be unhappy with the changes. These subordinates affirm and support their boss. They can also withdraw affirmation and support, and consequently isolate the superior with all the painful consequences this entails.

While appointments to positions come from above, affirmation of position comes from below. The only difference between party and organizational politics is in the subtlety of the voting procedure. Consider:

- In a large consumer products corporation, one division received almost no capital funds for expansion while another division, which had developed a new marketing approach for products common to both, expanded dramatically. The head of the static division found his power diminished considerably, as reflected in how seriously his subordinates took his efforts at influence (e.g., in programs to increase the profit return from existing volume).

He initiated one program after another with little support from subordinates because he could not make a claim for capital funds. The flow of capital funds in this corporation provided a measure of power gains and losses in both an absolute and a relative sense.

Power & action

Still another factor which heightens the competition for power that is characteristic of all political structures is the incessant need to use whatever power one possesses. Corporations have an implicit "banking" system in power transactions. The initial "capitalization" which makes up an individual's power base consists of three elements:

1. The quantity of formal authority vested in his position relative to other positions.

2. The authority vested in his expertise and reputation for competence (a factor weighted by how important the expertise is for the growth areas of the corporation as against the historically stable areas of its business).

3. The attractiveness of his personality to others (a combination of respect for him as well as liking, although these two sources of attraction are often in conflict).

This capitalization of power reflects the total esteem with which others regard the individual. By a process which is still not too clear, the individual internalizes all of the sources of power capital in a manner parallel to the way he develops a sense of self-esteem. The individual knows he has power, assesses it realistically, and is willing to risk his personal esteem to influence others.

A critical element here is the risk in the uses of power. The individual must perform *and* get results. If he fails to do either, an attrition occurs in his power base in direct proportion to the doubts other people entertained in their earlier appraisals of him.

What occurs here is an erosion of confidence which ultimately leads the individual to doubt himself and undermines the psychological work which led him in the first place to internalize authority as a prelude to action. (While, as I have suggested, the psychological work that an individual goes through to consolidate his esteem capital is a crucial aspect of power relations, I shall have to reserve careful examination of this problem until a later date. The objective now is to examine from a political framework the problems of organizational life.)

What distinguishes alterations in the authority structure from other types of organizational change is their direct confrontation with the political character of corporate life. Such confrontations are real manipulations of power as compared with the indirect approaches which play on ideologies and attitudes. In the first case, the potency and reality of shifts in authority have an instantaneous effect on what people do, how they interact, and how they think about themselves. In the second case, the shifts in attitude are often based on the willingness of people to respond the way authority figures want them to; ordinarily, however, these shifts in attitude are but temporary expressions of compliance.

One of the most common errors executives make is to confuse compliance with commitment. Compliance is an attitude of acceptance when a directive from an authority figure asks for a change in an individual' position, activities, or ideas. The individual complies or "goes along" usually because he is indifferent to the scope of the directive and the changes it proposes. If compliance occurs out of indifference, then one can predict little difficulty in translating the intent of directives into actual implementation.[2]

Commitment, on the other hand, represents a strong motivation on the part of an individual to adopt or resist the intent of a directive. If the individual commits himself to a change, then he will use his ingenuity to interpret and implement the change in such a way as to assure its success. If he decides to fight or block the change, the individual may act as if he complies but reserve other times and places to negate the effects of directives. For example:

- In one large company, the top management met regularly for purposes of organizational planning. The executives responsible for implementing planning

> decisions could usually be counted on to carry them out when they had fought hard and openly in the course of reaching such decisions. When they seemed to accept a decision, giving all signs of compliance, the decision usually ended up as a notation in the minutes. Surface compliance occurred most frequently when problems involved loyalties to subordinates.

In one instance, a division head agreed to accept a highly regarded executive from another division to meet a serious manpower shortage in his organization. When the time came to effect the transfer, however, this division general manager refused, with some justification, on the grounds that bringing someone in from outside would demoralize his staff. He used compliance initially to respond to the problem of "family" loyalties to which he felt committed. Needless to say, the existence of these loyalties was the major problem to be faced in carrying out organizational planning.

Compliance as a tactic to avoid changes and commitment as an expression of strong motivation in dealing with organizational problems are in turn related to how individuals define their interests. In the power relations among executives, the so-called areas of common interest are usually reserved for the banalities of human relationships. The more significant areas of attention usually force conflicts of interest, especially competition for power, to the surface.

Interest Conflicts

Organizations demand, on the one hand, cooperative endeavor and commitment to common purposes. The realities of experience in organizations, on the other hand, show that conflicts of interest exist among people who ultimately share a common fate and are supposed to work together. What makes business more political and less ideological and rationalistic is the overriding importance of conflicts of interest.

If an individual (or group) is told that his job scope is reduced in either absolute or proportional terms for *the good of the corporation,* he faces a conflict. Should he acquiesce for the idea of common good or fight in the service of his self-interest? Any rational man will fight (how constructively depends on the absence of neurotic conflicts and on ego strength). His willingness to fight increases as he comes to realize the intangible nature of what people think is good for the organization. And, in point of fact, his willingness may serve the interests of corporate purpose by highlighting issues and stimulating careful thinking before the reaching of final decisions.

Secondary effects

Conflicts of interest in the competition for resources are easily recognized, as for example, in capital budgeting or in allocating money for research and development. But these conflicts can be subjected to bargaining procedures which all parties to the competition validate by their participation.

The secondary effects of bargaining do involve organizational and power issues. However, the fact that these power issues *follow* debate on economic problems rather than *lead* it creates a manifest content which can be objectified much more readily than in areas where the primary considerations are the distributions of authority.

In such cases, which include developing a new formal organization structure, management succession, promotions, corporate mergers, and entry of new executives, the conflicts of interest are severe and direct simply because there are no objective measures of right or wrong courses of action. The critical question which has to be answered in specific actions is: Who gets power and position? This involves particular people with their strengths and weaknesses and a specific historical context in which actions are understood in symbolic as well as rational terms. To illustrate:

- A large corporation, General Motors in fact, inadvertently confirmed what every seasoned executive knows: that coalitions of power to overcome feelings of rivalry and the play of personal ambitions are fragile solutions. The appointment of Edward Cole to the presidency followed by Semon Knudsen's resignation shattered the illusion that the rational processes in business stand apart or even dominate the human emotions and ties that bind men to one another. If any corporation prides itself on rationality, General Motors is it. To have to experience so publicly the inference that major corporate life, particularly at the executive levels, is not so rational after all, can be damaging to the sense of security people get from belief in an idea as it is embodied in a corporate image.

The fact that Knudsen subsequently was discharged from the presidency of Ford (an event I shall discuss later in this article) suggests that personalities and the politics of corporations are less aberrations and more conditions of life in large organizations.

But just as General Motors wants to maintain an image, many executives prefer to ignore what this illustration suggests: that organizations are political structures which feed on the psychology of comparison. To know something about the psychology of comparison takes us into the theory of self-esteem in both its conscious manifestations and its unconscious origins. Besides possibly enlightening us in general and giving a more realistic picture of people and organizations, there are some practical benefits in such knowledge. These benefits include:

- Increased freedom to act more directly; instead of trying to “get around” a problem, one can meet it.
- Greater objectivity about people’s strengths and limitations, and, therefore, the ability to use them more honestly as well as effectively.
- More effective planning in organizational design and in distribution of authority; instead of searching for the “one best solution” in organization structure, one accepts a range of alternatives and then gives priority to the personal or emotional concerns that inhibit action.

Power Relations

Organizational life within a political frame is a series of contradictions. It is an exercise in rationality, but its energy comes from the ideas in the minds of power figures the content of which, as well as their origins, are only dimly perceived. It deals with sources of authority and their distribution; yet it depends in the first place on the existence of a balance of power in the hands of an individual who initiates actions and gets results. It has many rituals associated with it, such as participation, democratization, and the sharing of power; yet the real outcome is the consolidation of power around a central figure to whom other individuals make emotional attachments.

Faulty coalitions

The formal organization structure implements a coalition among key executives. The forms differ, and the psychological significance of various coalitions also differs. But no organization can function without a consolidation of power in the relationship of a central figure with his select group. The coalition need not exist between the chief executive and his immediate subordinates or staff. It may indeed bypass the second level as in the case of Presidents of the United States who do not build confident relationships within their cabinets, but instead rely on members of the executive staff or on selected individuals outside the formal apparatus.

The failure to establish a coalition within the executive structure of an organization can result in severe problems, such as paralysis in the form of inability to make decisions and to evaluate performance, and in-fighting and overt rivalry within the executive group.

When a coalition fails to develop, the first place to look for causes is the chief executive and his problems in creating confident relationships. The causes are many and complex, but they usually hinge around the nature of the chief executive's defenses and what he needs to avoid as a means of alleviating stress. For example:

- The "palace revolt," which led to Semon Knudsen's departure from Ford Motor Company, is an illustration of the failure in the formation of a coalition. While it is true that Henry Ford II named Knudsen president of the company, Knudsen's ultimate power as a newcomer to an established power structure depended on forming an alliance. The particular individual with whom an alliance seemed crucial was Lee Iacocca. For some reason, Knudsen and Iacocca competed for power and influence instead of using cooperatively a power base to which both contributed as is the case with most workable coalitions. In the absence of a coalition, the alternate postures of rivalry and battle for control erupted. Ford ultimately responded by weighing his power with one side over the other.

As I have indicated, it is not at all clear why in Knudsen's case the coalition failed to develop. But in any failure the place to look is in the personalities of the main actors and in the nature of their defenses which make certain coalitions improbable no matter how strongly other realities indicate their necessity.

But defensiveness on the part of a chief executive can also result in building an unrealistic and unworkable coalition, with the self-enforced isolation which is its consequence. One of the most frequently encountered defensive maneuvers which leads to the formation of unrealistic coalitions or to the isolation of the chief executive is the fear of rivalry.

A realistic coalition matches formal authority and competence with the emotional commitments necessary to establish and maintain the coalition. The fear of rivals on the part of chief executives, or the jealousy on the part of subordinates of the chief executive's power, can at the extreme result in paranoid distortions. People become suspicious of one another, and through selective perceptions and projections of their own fantasies create a world of plots and counterplots.

The displacement of personal concerns onto substantive material in decision making is potentially the most dangerous form of defensiveness. The need for defenses arises because people become anxious about the significance of evaluations within existing power coalitions. But perhaps even more basic is the fear and the rivalry to which all coalitions are susceptible given the nature of investments people make in power relations. While it is easy to dismiss emotional reactions like these as neurotic distortions, their prevalence and impact deserve careful attention in all phases of organizational life.

Unconscious collusions

All individuals and consequently groups experience areas of stress which mobilize defenses. The fact that coalitions embody defensive maneuvers on those occasions where stress goes beyond the usual level of tolerance is not surprising. An even more serious problem, however, occurs when the main force that binds men in a structure is the need to defend against or to act out the conflicts which individuals cannot tolerate alone.

Where coalitions represent the aggregation of power with conscious intention of using the abilities of members for constructive purposes, collusions represent predominance of unconscious conflict and defensive behavior. In organizational life, the presence of collusions and their causes often becomes the knot which has to be unraveled before any changes can be implemented.

The collusion of latent interests among executives can become the central theme and sustaining force of an organization structure of top management. For a collusion to take hold, the conflicts of the “power figure” have to be communicated and sensed by others as an overriding need which seeks active expression in the form of a theme. The themes vary just as do the structures which make a collusion. Thus one common theme is the need to control; another is the need to be admired and idealized; and still another is the need to find a scapegoat to attack in response to frustrations in solving problems.

If people could hold on to and keep within themselves areas of personal conflict, there would be far fewer collusions in organizational life. But it is part of the human condition for conflicts and needs to take over life situations. As a result, we find numerous instances of collusions controlling the behavior of executives. To illustrate:

- A multidivisional corporation found itself with a revolution on its hands. The president was sensitive to the opinions of a few outside board members representing important stockholder interests. He was so concerned that he would be criticized by these board members, he demanded from vice presidents full information on their activities and complete loyalty to him. Over a period of years, he moved divisional chief executives to corporate headquarters so he could assure himself of their loyalty. Other executives joined in to gratify the president’s need for control and loyalty.

The result of this collusion, however, was to create a schism between headquarters and field operations. Some of the staff members in the field managed to inform the board members of the lack of attention to and understanding of field problems. Discontent grew to such an extent that the board placed the president on early retirement.

Subsequently, the new president, with the support of the board, decentralized authority and appointed new division heads who were to make their offices in divisional headquarters with full authority to manage their respective organizations. One of the lingering problems of the new president was to dissolve the collusion at headquarters without wholesale firing of vice presidents.

Just as power distributions are central to the tasks of organizational planning, so the conservation of power is often the underlying function of collusions. Thus:

- A manufacturing vice president of a medium-sized company witnessed over a period of 15 years a procession of changes in top management and ownership. He had managed to retain his job because he made himself indispensable in the management of the factory.

To each new top management, he stressed the importance of “home rule” as a means of assuring loyalty and performance in the plant. He also tacitly encouraged each supervisor to go along with whatever cliques happened to form and dominate the shop floor.

However, over time a gradual loss of competitive position, coupled with open conflict among cliques in the form of union disputes, led to the dismissal of the vice president. None of his successors could reassert control over the shop, and the company eventually moved or liquidated many of the operations in this plant.

Lewin’s model, organizational development

A leader in change management, Kurt Lewin was a German-American social psychologist in the early 20th century. Among the first to research group dynamics and organizational development, Lewin developed the 3 Stage Model of Change in order to evaluate two areas:

- The change process in organizational environments
- How the status-quo could be challenged to realize effective changes

Lewin proposed that the behavior of any individual in response to a proposed change is a function of group behavior. Any interaction or force affecting the group structure also affects the individual’s behavior and capacity to change. Therefore, the group environment, or ‘field’, must be considered in the change process.

The 3 Stage Model of Change describes status-quo as the present situation, but a change process—a proposed change—should then evolve into a future desired state. To understand group behavior, and hence the behavior of individual group members during the change process, we must evaluate the totality and complexity of the field. This is also known as Field Theory, which is widely used to develop change models including Lewin’s 3 Stage Model.

The 3 Stages of Change

Let's look at how Lewin's three-step model describes the nature of change, its implementation, and common challenges:

Step 1: Unfreeze

Lewin identifies human behavior, with respect to change, as a quasi-stationary equilibrium state. This state is a mindset, a mental and physical capacity that can be almost absolutely reached, but it is initially situated so that the mind can evolve without actually attaining that capacity. For example, a contagious disease can spread rapidly in a population and resist initial measures to contain the escalation. Eventually, through medical advancement, the disease can be treated and virtually disappear from the population.

Lewin argues that change follows similar resistance, but group forces (the field) prevent individuals from embracing this change. Therefore, we must agitate the equilibrium state in order to instigate a behavior that is open to change. Lewin suggests that an emotional stir-up may disturb the group dynamics and forces associated with self-righteousness among the individual group members. Certainly, there are a variety of ways to shake up the present status-quo, and you'll want to consider whether you need change in an individual or, as in a company, amongst a group of people.

Let's consider the process of preparing a meal. The first change, before anything else can happen, is to "unfreeze" foods—preparing them for change, whether they're frozen and require thawing, or raw food requiring washing. Lewin's 3 Step Model believes that human change follows a similar philosophy, so you must first unfreeze the status-quo before you may implement organizational change.

Though not formally part of Lewin's model, actions within this Unfreeze stage may include:

- Determining what needs to change.
  - Survey your company.
  - Understand why change is necessary.
- Ensuring support from management and the C-suite.
  - Talk with stakeholders to obtain support.
  - Frame your issue as one that positively impacts the entire company.

- Creating the need for change.
    - Market a compelling message about why change is best.
    - Communicate the change using your long-term vision.

Step 2: Change

Once you've "unfrozen" the status quo, you may begin to implement your change. Organizational change in particular is notoriously complex, so executing a well-planned change process does not guarantee predictable results. Therefore, you must prepare a variety of change options, from the planned change process to trial-and-error. With each attempt at change, examine what worked, what didn't, what parts were resistant, etc.

During this evaluation process, there are two important drivers of successful and long-term effectiveness of the change implementation process: information flow and leadership.

- Information flow refers to sharing information across multiple levels of the organizational hierarchy, making available a variety of skills and expertise, and coordinating problem solving across the company.
- Leadership is defined as the influence of certain individuals in the group to achieve common goals. A well-planned change process requires defining a vision and motivation.

The iterative approach is also necessary to sustain a change. According to Lewin, a change left without adequate reinforcement may be short-lived and therefore fail to meet the objectives of a change process.

During the Change phase, companies should:

- Communicate widely and clearly about the planned implementation, benefits, and who is affected. Answer questions, clarify misunderstandings, and dispel rumors.
- Promote and empower action. Encourage employees to get involved proactively with the change, and support managers in providing daily and weekly direction to staff.
- Involve others as much as possible. These easy wins can accumulate into larger wins, and working with more people can help you navigate various stakeholders.

Step 3: Refreeze

The purpose of the final step—refreezing—is to sustain the change you've enacted. The goal is for the people involved to consider this new state as the new status-quo, so they no longer resist forces that are trying to implement the change. The group norms, activities, strategies, and processes are transformed per the new state.

Without appropriate steps that sustain and reinforce the change, the previously dominant behavior tends to reassert itself. You'll need to consider both formal and informal mechanisms to implement and freeze these new changes. Consider one or more steps or actions that can be strong enough to counter the cumulative effect of all resistive forces to the change—these stronger steps help ensure the new change will prevail and become "the new normal".

In the Refreeze phase, companies should do the following:

- Tie the new changes into the culture by identifying change supports and change barriers.
- Develop and promote ways to sustain the change long-term. Consider:
    - Ensuring leadership and management support and adapting organizational structure when necessary.
    - Establishing feedback processes.
    - Creating a rewards system.
- Offer training, support, and communication for both the short- and long-term. Promote both formal and informal methods, and remember the various ways that employees learn.
- Celebrate success!

Lewin's 3 Stage Model of Change provides an intuitive and fundamental understanding of how changes occur, in context of the social behaviors observed at an individual and collective level within a group. Since the theory was first introduced in 1951, change management has taken both supportive and opposing directions. This is a vital reminder: when modern-day change management frameworks are not working for specific use cases and business needs, consider these fundamentals of understanding social behavior in light of change.